

ROLE OF REAL ESTATE IN A COMPETITIVE ECONOMY

Koh Choon Fah
Adjunct Prof, NUS Cities

7 March 2025



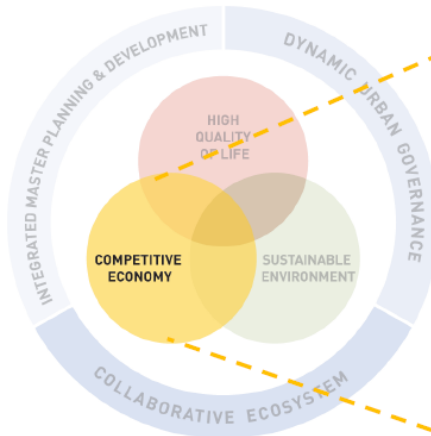
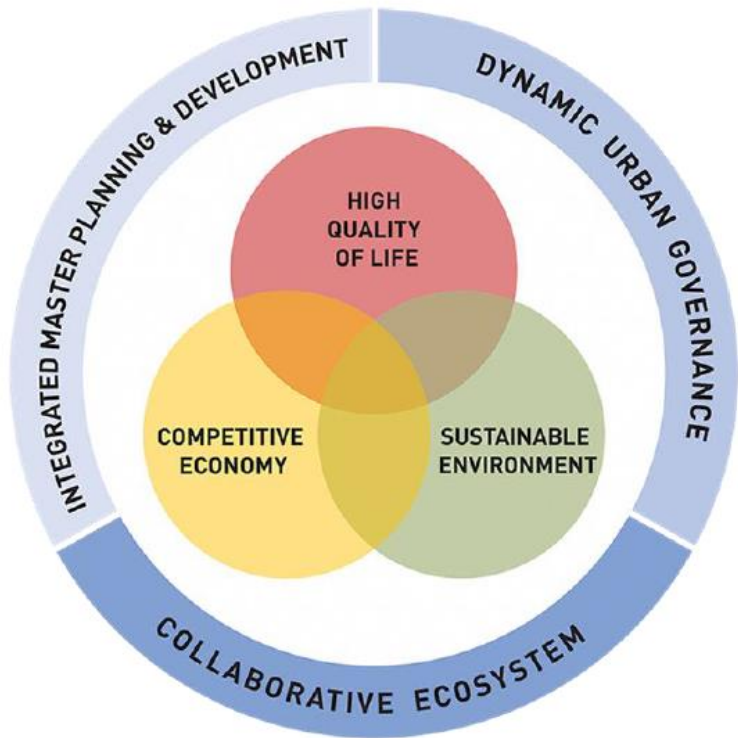
Marina One's 'heart center', Ingenhoven Architects

OUTLINE

- Introduction
- Role of Real Estate in a Competitive Economy
- Key Stakeholders
 - Interests
 - Conflicts & Mitigation
- Case Studies
 - Gardens by the Bay
 - Dubai Mall

INTRODUCTION

- LIVEABILITY FRAMEWORK RECAP



**1. Creative and innovative
business environment**

**2. Inclusive workforce and an
accessible education system**

3. Economic resilience



INTRODUCTION

- Economic competitiveness is vital for a city's residents' well-being
- A strong economy drives job creation and improves living standards, leading to High Quality of Life (HQL)
- Key economic trends
 - Aging population and workforce
 - Global competition for talent
 - Vulnerability to external shocks
 - Need for environmentally sustainable practices

INTRODUCTION

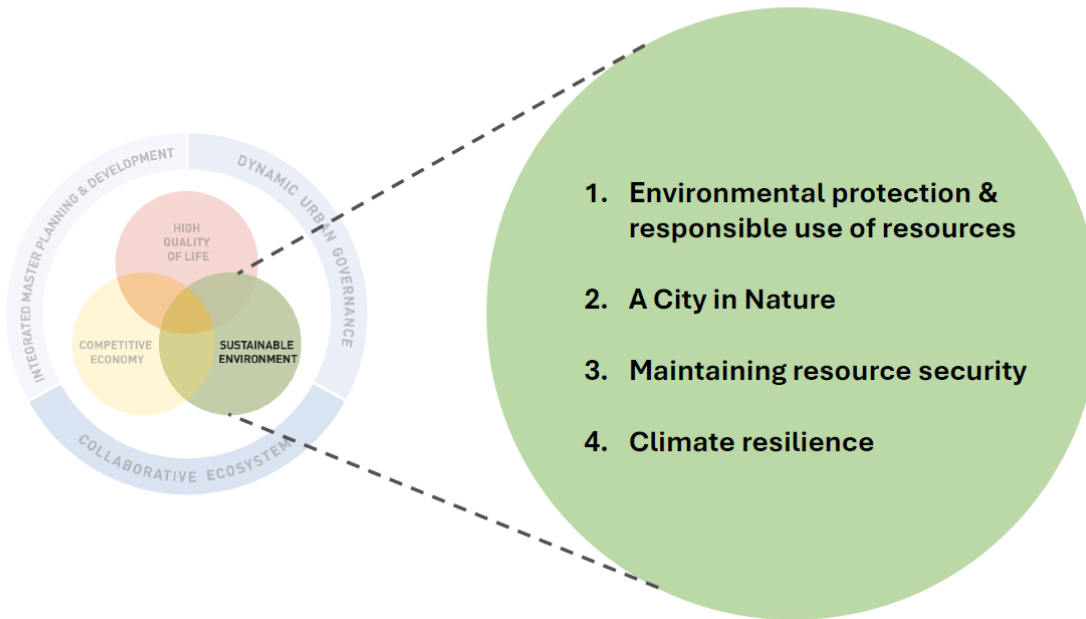
- A healthy economy must be both competitive and sustainable
- Beyond economic output - requires dynamism and resilience
- Elements of a competitive economy
 - Attracting and retaining global talent
 - Creating good job opportunities
 - Investing in workforce development (education and training)
 - Fostering an innovative and inclusive business environment
- Social and cultural factors are crucial for attracting and retaining talent



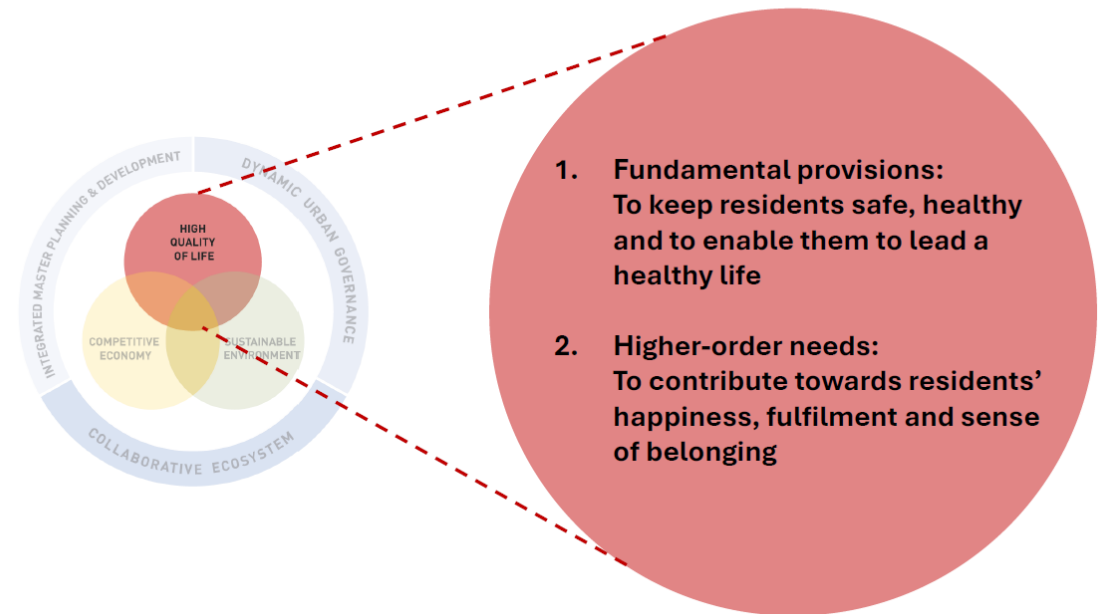
INTRODUCTION

- COMPETITIVE ECONOMY ENCOMPASSES SUSTAINABLE ENVIRONMENT AND HQL

SUSTAINABLE ENVIRONMENT



HIGH QUALITY OF LIFE



ROLE OF REAL ESTATE IN COMPETITIVE ECONOMY

■ Economic Driver

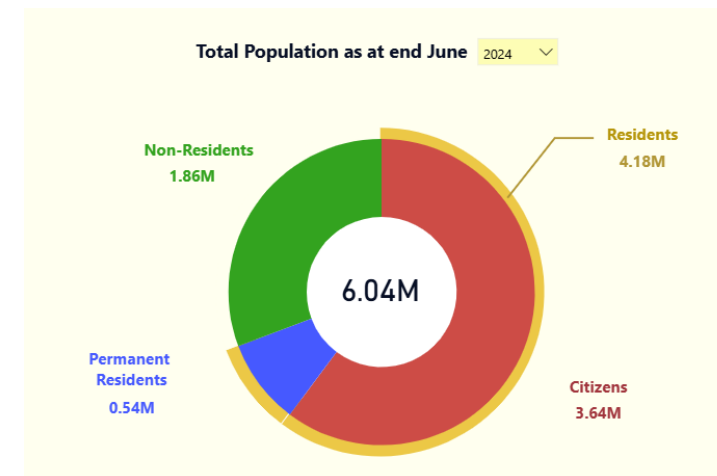
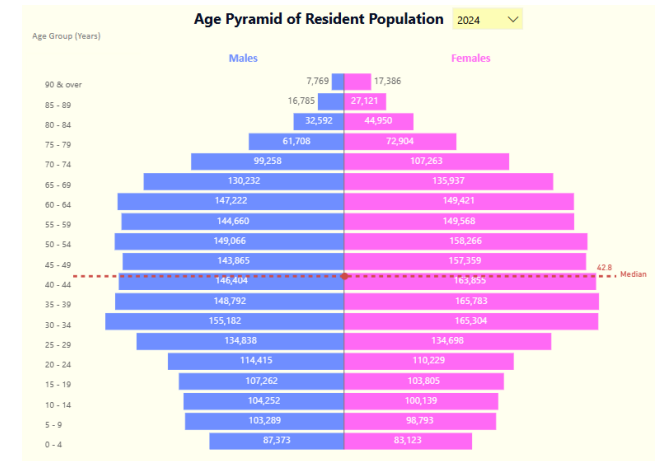
- Major contributor to GDP e.g., construction, development, services
- Creates jobs across different sectors
- Attracts foreign investment

■ Nation Building

- Integral to urban planning and efficient land use
- Drives infrastructure development e.g., transport, utilities
- Climate change and sustainability
- Social Compact

■ Quality of Life

- Impacts affordability and availability of housing
- Shapes the urban living environment e.g., amenities, public spaces, green spaces



Source: DOS

NATIONAL DEVELOPMENT - SOCIAL COMPACT: FORWARD SINGAPORE

To meet tomorrow's challenges, we must:



Have a successful, strong and growing economy



Develop as a fairer, more just and more equal society



Deepen our sense of solidarity and unity

As we continue to build on our strengths and empower one another to give and achieve more, we can build a better Singapore together.



We've done it before, and we can do it again.

What do we want our shared future to look like?



Vibrant

With opportunities for lifelong learning and diverse career pathways



Inclusive

Where we embrace wider definitions of success, and everyone is valued and respected for who we are



Fair

Where everyone feels assured about their basic needs, and no one is left behind



Thriving

Where everyone can pursue their dreams, find fulfilment in life and be the best version of themselves



Resilient

Where we stand ready to adapt to change and bounce back stronger from our challenges



United

With a strong sense of shared identity, solidarity and togetherness

KEY STAKEHOLDERS AND THEIR INTERESTS

- **Government** e.g., MND (URA, BCA, HDB, NParks), SLA, LTA, MTI (EDB, JTC, ESG, STB, SDC): economic growth, sustainable development, social equity, affordable housing
- **Developers:** profitability, market share, reputation, share price
- **Property owners/tenants:** capital appreciation (owners), affordable and suitable housing (tenants), quality of life
- **Investors:** risk-adjusted return on investment (capital appreciation/rental income)
- **Businesses:** appropriate and affordable premises, strategic location e.g., accessibility, amenities
- **Community:** quality of life, heritage preservation, sustainable development
- **Other Stakeholders:** financial institutions, special interest groups e.g., nature, heritage



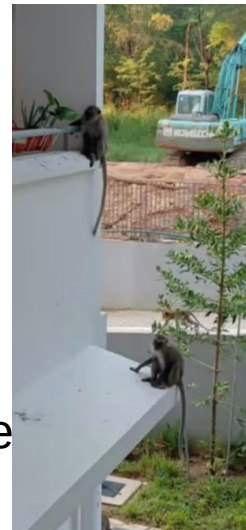
POTENTIAL CONFLICTS



Heritage & Sustainability



Housing Affordability



Heritage & Use Intensity Nature & Highest & Best Use

THE BUSINESS TIMES

Singapore public housing rated as highly attainable, affordable: reports

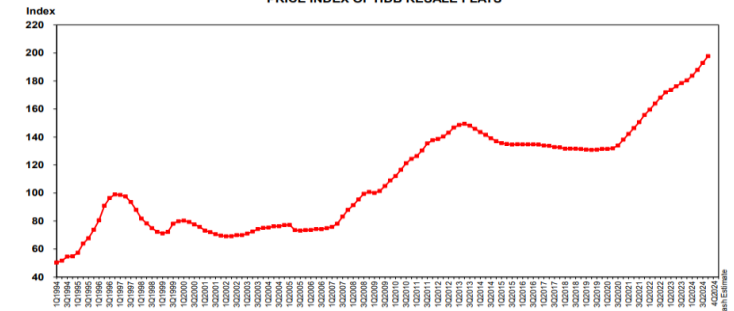
One report ranks Singapore as 11th among the 94 major housing markets for affordability in 2023



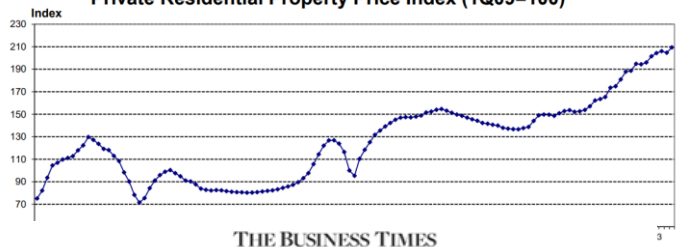
Chong Xin Wei

Published Wed, Oct 2, 2024 · 01:32 PM — Updated Wed, Oct 2, 2024 · 07:50 PM

PRICE INDEX OF HDB RESALE FLATS



Private Residential Property Price Index (1Q09=100)



THE BUSINESS TIMES

THE LEVEL GROUND · SUBSCRIBERS

Some ways to tweak ABSD for greater equity

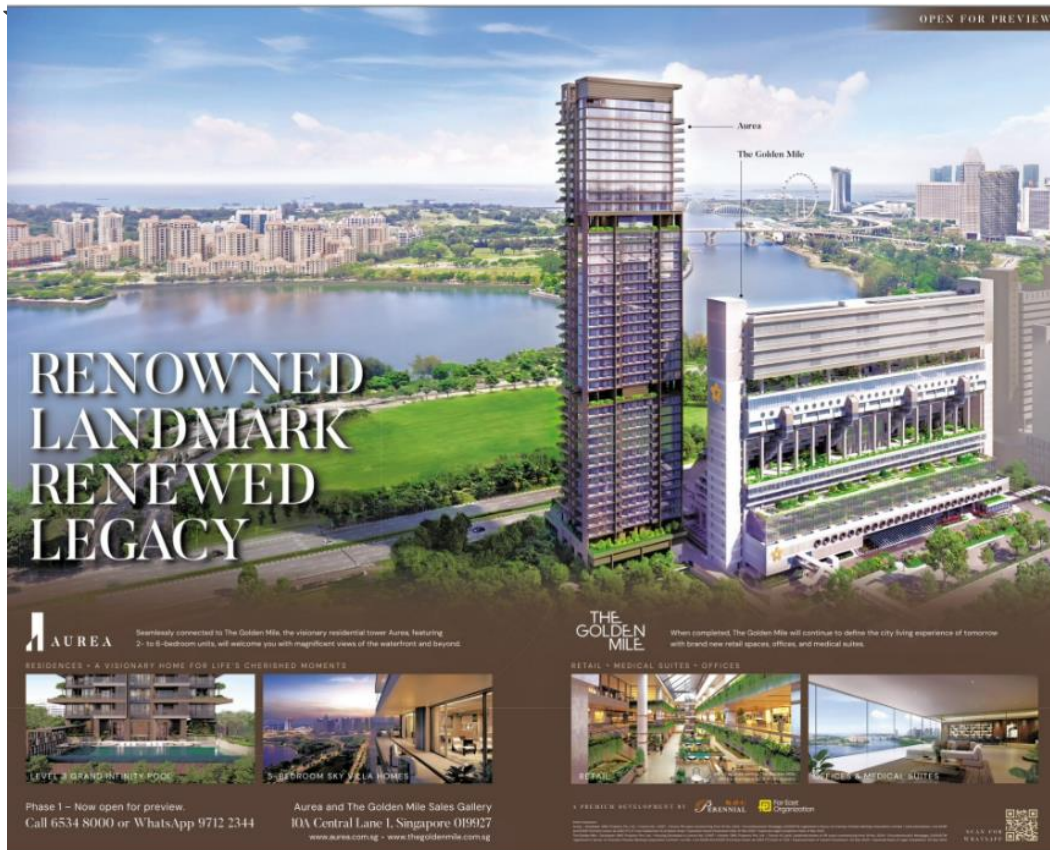


Leslie Yee

Published Mon, Oct 30, 2023 · 03:37 PM

GOLDEN MILE SINGAPORE: REVITALIZING AN ICON

CONSERVATION & INNOVATION:



- Preserves the iconic Golden Mile Complex (brutalist architecture)
 - Strata-titled, office: 66-501 sqm, including "Crown Offices" with panoramic views and "Loft Mezzanine" units
 - Medical Suites: 47 to 228 sqm
 - Retail Atrium: Indoor boulevard with retail, F&B & event space
 - Public Amenities: Landscaped gardens (L9 & 18) and Architecture Centre (URA's CSFS)
- Residential tower (Aurea)
- Modern vertical linear design, inspired by original architecture
 - Blends heritage with contemporary living

Source: Perennial

CONFLICTS & MITIGATION

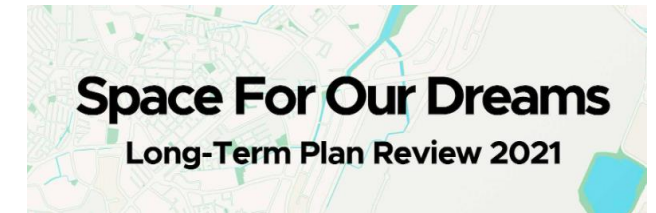
- Government intervention e.g., policies, regulations
- Legal and regulatory framework e.g., Green Plan 2030
- Industry best practices e.g., community engagement, inclusiveness
- Stakeholder collaboration e.g., public consultation
- Role of technology: transparency, data-driven
- Promoting transparency
- Build Diversity
- Be adaptable and flexible
- Find common grounds
- Build trust



Singapore

Government 'not averse' to more property cooling measures but will wait for current ones to work: Desmond Lee

The government also needs to be mindful of an uncertain economic environment to avoid overcorrecting the market, says Minister for National Development Desmond Lee.



CASE STUDY: GARDENS BY THE BAY



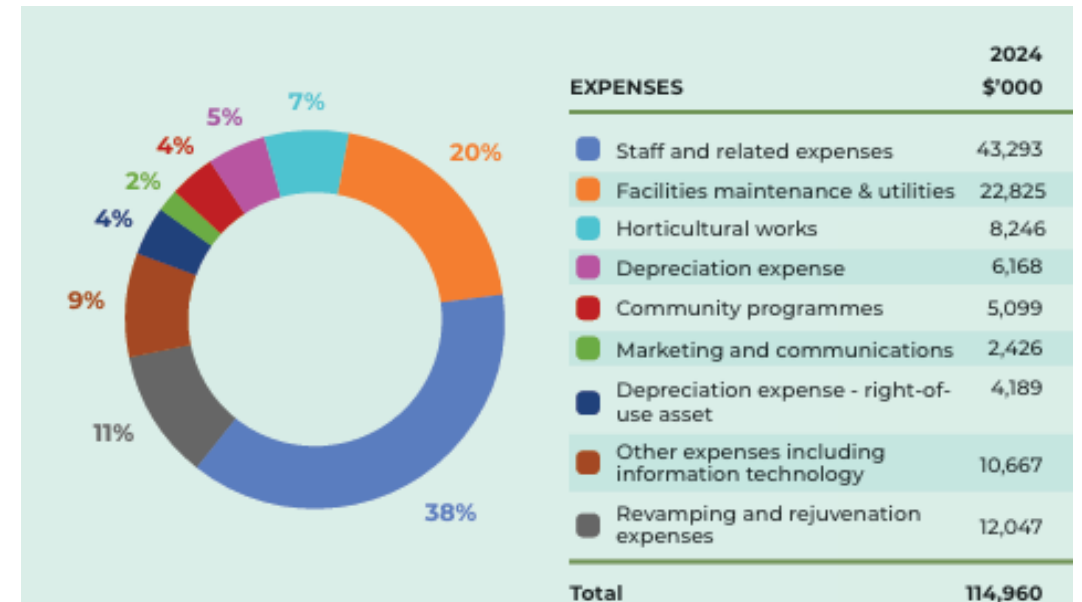
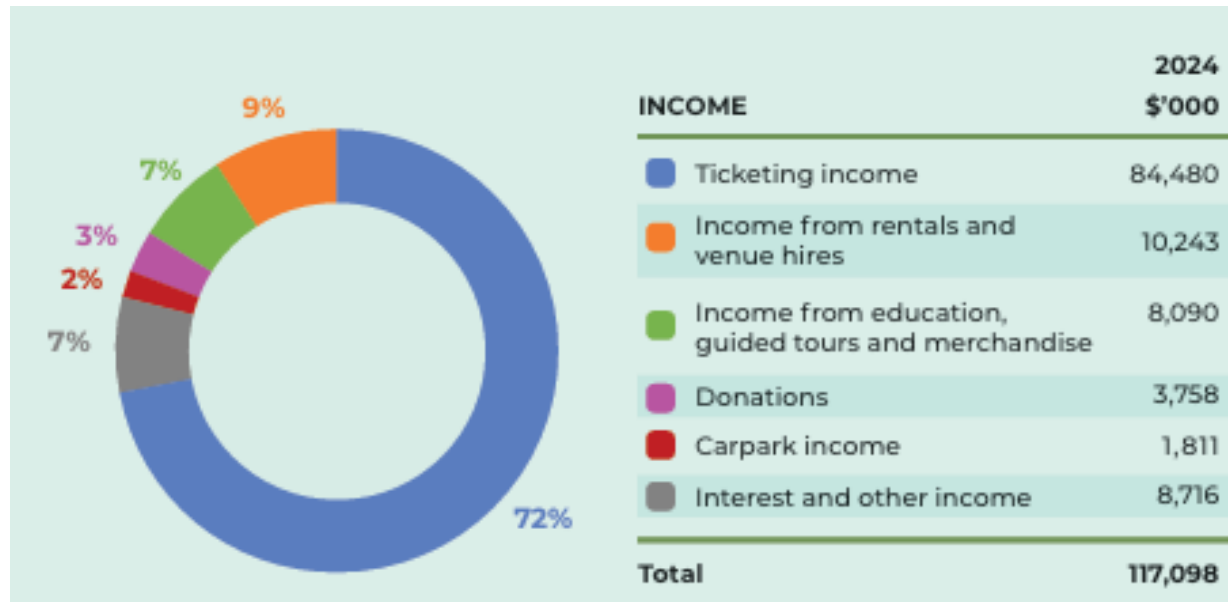
Economic

- Strengthens Singapore's brand positioning
- Attracts tourists, businesses, and investors: 11.8 mil visitors in FY2024
- Job Creation - direct and indirect
- Increase in surrounding real estate value

CASE STUDY: GARDENS BY THE BAY

Economic

- Financially sustainable



Source: Gardens by the Bay, Annual Report 2023/24

CASE STUDY: GARDENS BY THE BAY

Sustainability and Innovation

Energetics of Conservatories

Energy-efficient solutions in cooling: reduce energy consumption by 30%

- Minimising solar heat gain
 - fitted special coating glass with optimal light for plants, reducing substantial heat
 - roof fitted with sensor-operated retractable sails
- Generating energy and harnessing waste heat: carbon-neutral electricity generated on-site
- Cooling only occupied zones in lower levels
- De-humidifying air in Flower Dome before cooling



Flower Dome Conservatory



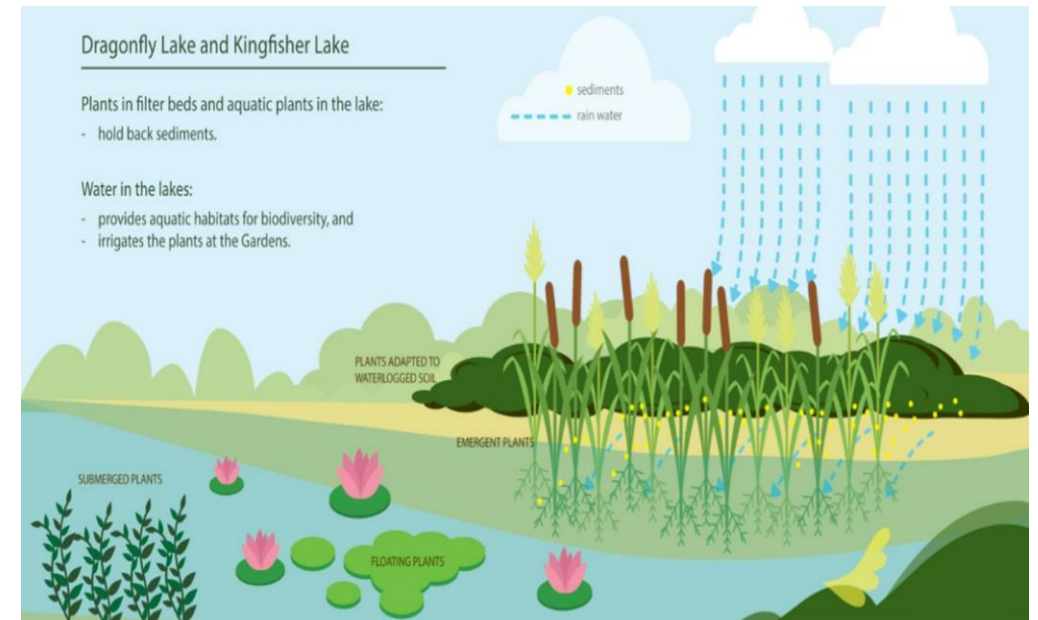
Kingfisher wetlands- carbon sink

CASE STUDY: GARDENS BY THE BAY

Sustainability and Innovation



Some Supertrees have photovoltaic cells to harvest solar energy for lighting Supertrees, others integrated with Conservatories serving as air exhaust receptacles



Dragonfly & Kingfisher Lakes - natural filtration system for water from Gardens catchment and provides aquatic habitats

Positions Singapore as a leader in environmental sustainability, attracting "green" businesses

CASE STUDY: GARDENS BY THE BAY

Community

- People's Garden
- Inclusive garden
- Health & wellness
- Valuable public space for recreation and community events, enhancing quality of life
- Deepens sense of solidarity & unity

The Gardens' Community Engagement Efforts in Numbers

- CONDUCTED
1,269 SCHOOL PROGRAMMES
(ON-SITE AND VIRTUAL)

ENGAGING
>25,700 PARTICIPANTS
- CONDUCTED
91 PUBLIC PROGRAMMES
(DROP-IN ACTIVITIES, WORKSHOPS & ASK ME! TOUR SESSIONS)

ENGAGING
>15,800 PARTICIPANTS
- ENGAGED
116,845 FRIENDS OF THE GARDENS MEMBERS
- ENGAGED
>4,800 VOLUNTEERS
(NON-UNIQUE)

CONTRIBUTING
>18,000 VOLUNTEER HOURS
- OUTREACH INITIATIVES AS PART OF GIFT OF GARDENS ENGAGED
>18,000 BENEFICIARIES

Source: GB Annual Report 2023/24



CASE STUDY: DUBAI MALL

Dubai Facts & Figures

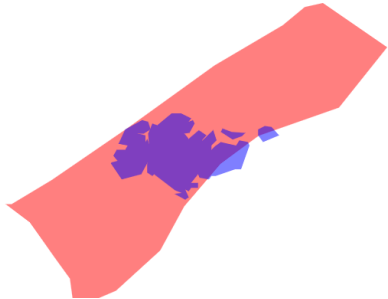
Dubai Emirate: 4,114 sq km

Dubai City: 35 sq km

Total Population: 3.78 mil (Peak: 4.98 mil)

Gender: 67% males

Over 90% expats



CASE STUDY: DUBAI MALL

Economic Drivers

- Trade
- Major Travel hub
- Tourism
- Real Estate
- Financial Services
- Hub for MNCs



CASE STUDY: DUBAI MALL

Downtown Dubai



Dubai Today



Dubai 2005

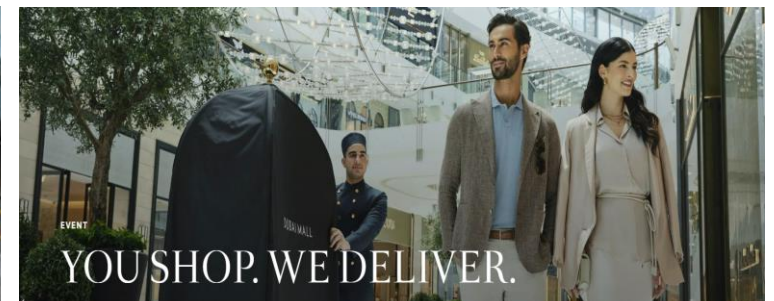
Source: Sotheby's International Realty, Discover your Dubai

CASE STUDY: DUBAI MALL

EMAAR

Overview

- Location: Downtown Dubai
- Opened: November 2008
- Developer: Emaar Properties
- Land area: Over 13 mil sf (over 50 football pitches)
- Retail Lettable Area: 3.77 mil sf
- Parking: Over 14,000 parking spaces
- Over 100 mil annual visitors



CASE STUDY: DUBAI MALL

- Retail:** >1,200 shops with dedicated areas e.g., Fashion Avenue, Fountain Views, Chinatown, Souk Al Bahar, Galeries Lafayette & Bloomingdales
- F&B:** >200 options
- Entertainment & Leisure
- Dubai Aquarium & Underwater Zoo:** One of the world's largest indoor aquariums, over 33,000 aquatic animals with 270-degree walk-through
- Cinemas:** 22-screen cinema complex, one of the largest in the region
- Dubai Ice Rink:** Olympic-sized ice rink with various activities
- Play DXB:** indoor virtual reality theme park (first in ME)
- KidZania Dubai:** interactive children edutainment center
- Zabeel Sports District** – 20,000 sf multi-sports complex on rooftop
- Dubai Fountain:** one of the world's largest fountain show



CASE STUDY: DUBAI MALL

Economic Impact

- **Enhances Dubai's Global Brand Positioning**
- **Retail & Commerce**
 - **Stimulates Retail Sales:** drives significant retail activity
 - **Creates Business Opportunities:** platform for businesses to thrive, attracting investment
 - **Boosts Related Industries:** supports related industries like logistics, supply chain, and manufacturing, which cater to the mall's operations and retail needs



CASE STUDY: DUBAI MALL

Economic Impact

- **Tourism & Hospitality** - tourism revenue e.g., shopping, dining, entertainment, transport
- **Employment & Job Creation**
 - **Direct Employment:** DM directly employs individuals e.g., retail staff and hospitality professionals, security personnel, maintenance workers
 - **Indirect Employment:** jobs in related sectors e.g., construction, transportation, marketing



Multiplier Effect

[ˈmʌl-tə-pli(-ə)r i-ˈfekt]

An economic term, referring to the proportional amount of increase, or decrease, in final income that results from an injection, or withdrawal, of capital.

 Investopedia

CASE STUDY: DUBAI MALL

Economic Impact

Real Estate & Development

- **Increases Property Values:** DM significantly increases value of properties, benefiting homeowners, developers, and investors
- **Encourages Urban Development:** catalyzed urban development, encouraging growth of residential/commercial growth

Economic Diversification

- **Reduces Reliance on Oil:** diversify economy, making it more resilient
- **Promotes Sustainable Growth:** encourages development of non-oil sectors, fostering long-term economic stability and sustainable



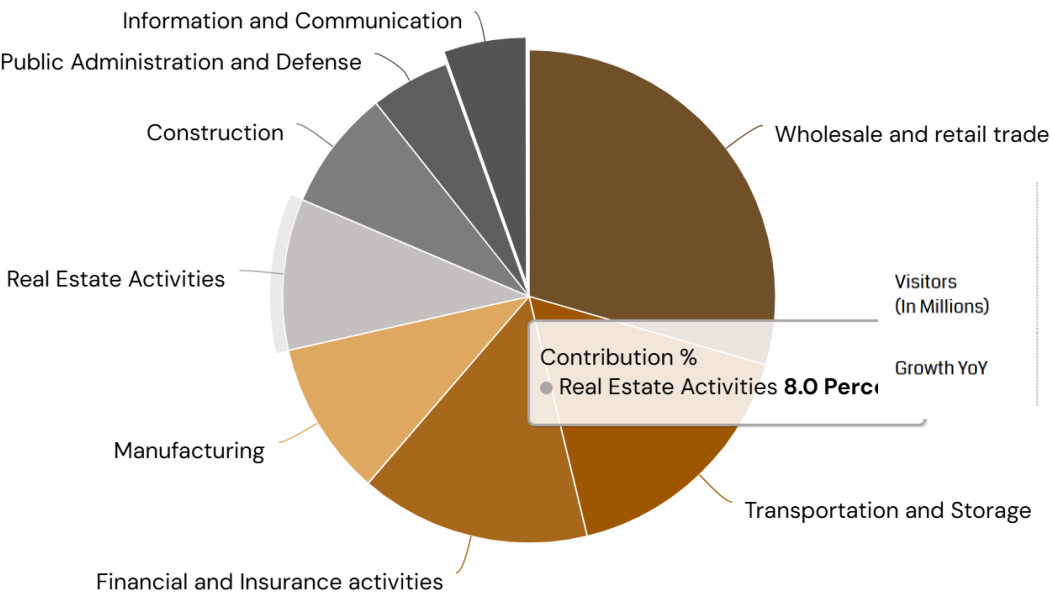
CASE STUDY: DUBAI MALL

Government Revenue

- **Generates Tax Revenue:** DM's economic activities contribute to government revenue e.g., corporate taxes, sales taxes, and property taxes
- **Funds Public Services:** fund public services, infrastructure development, and other initiatives that benefit the community
- **Overall Economic Growth**
 - **Contributes to GDP:** DM's economic activities contribute significantly GDP
 - **Enhances Global Competitiveness:** Dubai's position as a global business and leisure hub, attracting investment and talent

CASE STUDY: DUBAI MALL

Real GDP (1H2024) - Diversified Economy



Dedicated Free Zones – attracts FDIs

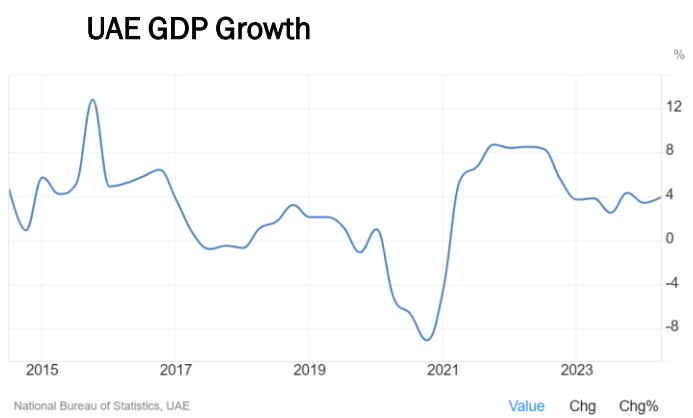
 <u>Jebel Ali Free Zone (JAFZA)</u>	 <u>Dubai International Financial Centre (the DIFC)</u>	 <u>Dubai Airport Free Zone (DAFZ)</u>
 <u>Dubai Silicon Oasis (DSO)</u>	 <u>Dubai Commerce City (DCC)</u>	 <u>Dubai Multi Commodities Centre (DMCC)</u>
 <u>Dubai World Trade Centre (DWTC)</u>	 <u>Dubai Healthcare City (DHCC)</u>	 <u>TECOM Group and Dubai Development Authority (DDA)</u>

Strong Growth in Visitor Arrivals

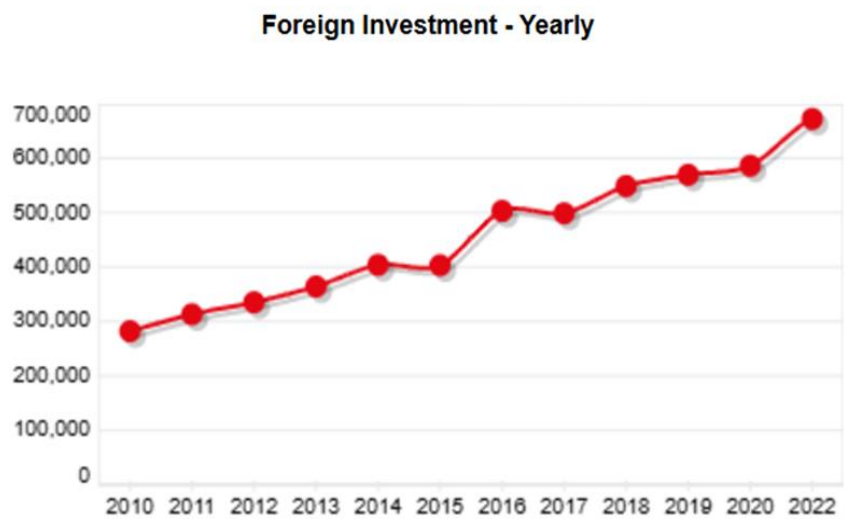
	2019	2020	2021	2022	2023	2024 July (YTD)
Visitors (In Millions)	17.54	5.51	7.28	14.36	17.2	10.6
Growth YoY	8%	(69)%	32%	97%	19%	8%

CASE STUDY: DUBAI MALL

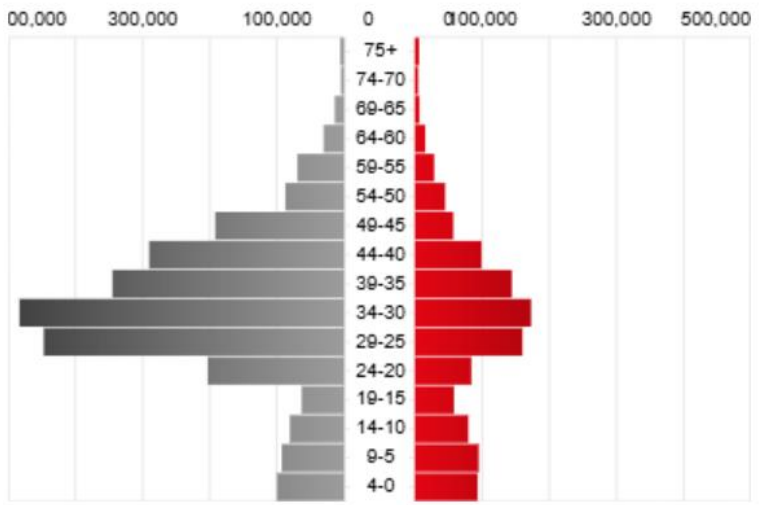
Resilient Economy



Strong Foreign Investments

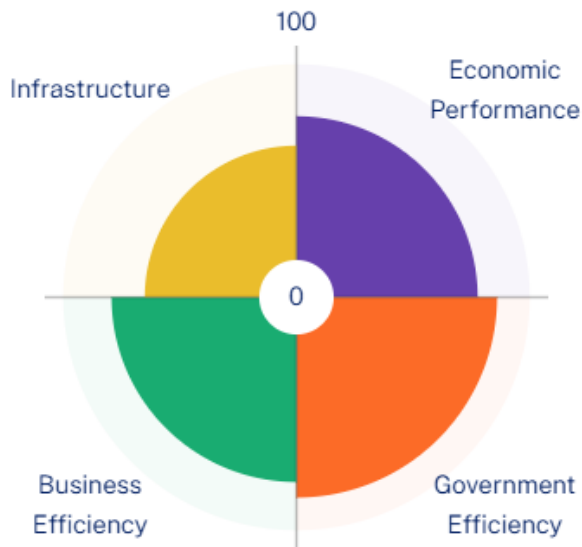


Attracts Talent

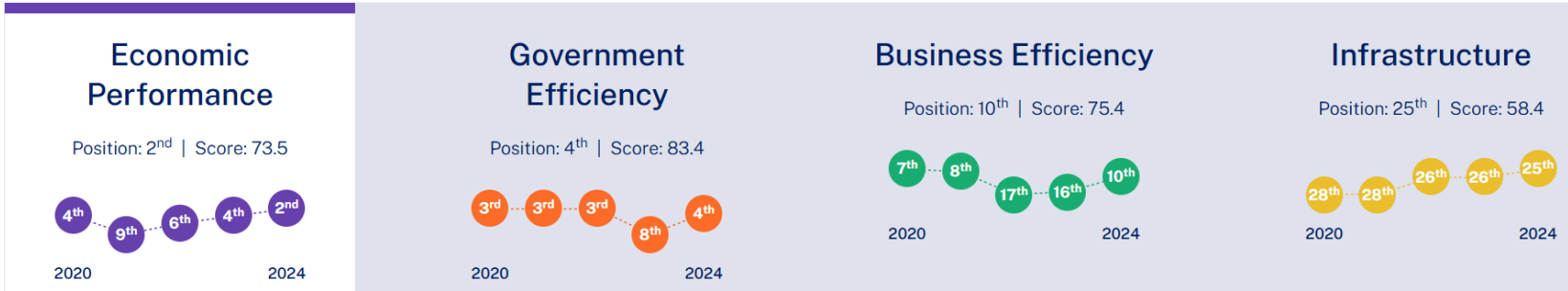


Source: Dubai Statistics Center
Note: Population Pyramid as at 2023

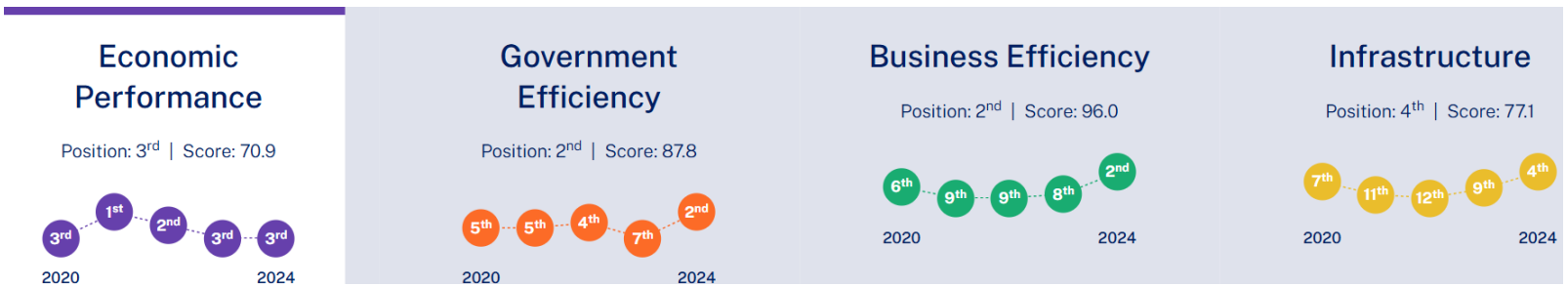
UAE – 7TH MOST COMPETITIVE ECONOMY IN THE WORLD



UAE



UAE



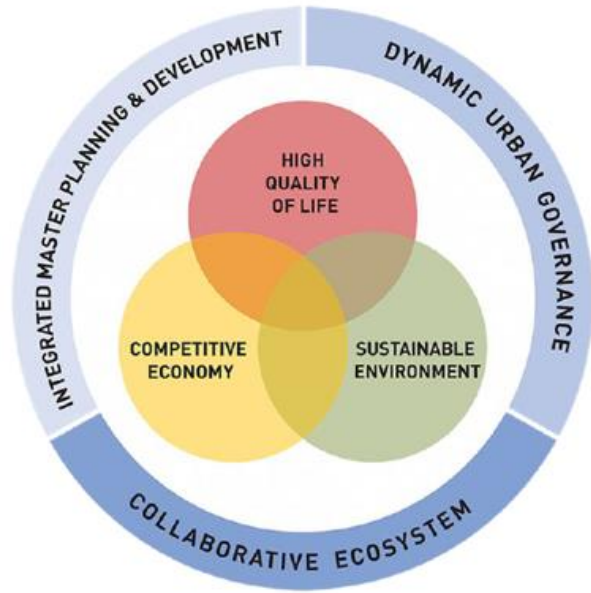
Singapore

SINGAPORE - MOST COMPETITIVE ECONOMY IN THE WORLD

		Score		
01	Singapore	100.00	↗	3
02	Switzerland	97.55	↗	1
03	Denmark	97.07	↙	2
04	Ireland	91.89	↙	2
05	Hong Kong SAR	91.49	↗	2
06	Sweden	90.30	↗	2
07	UAE	89.75	↗	3
08	Taiwan (Chinese Taipei)	88.50	↙	2
09	Netherlands	86.94	↙	4
10	Norway	86.22	↗	4
11	Qatar	85.33	↗	1
12	USA	83.46	↙	3
13	Australia	81.86	↗	6
14	China	81.04	↗	7
15	Finland	80.26	↙	4
16	Saudi Arabia	79.83	↗	1
17	Iceland	78.93	↙	1
18	Belgium	77.87	↙	5
19	Canada	77.69	↙	4
20	Korea Rep.	75.92	↗	8

Source: IMD World Competitiveness Report 2024

REAL ESTATE PLAYS A HUGE ROLE IN A COMPETITIVE ECONOMY





Thank you